

THE WALL STREET JOURNAL.

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DJIA 53178.41 ▲ 693.38 1.32% NASDAQ 25913.90 ▲ 2.1% STOXX 600 652.09 ▲ 0.4% 10-YR. TREAS. ▲ 15/32, yield 4.684% OIL \$80.34 ▼ \$4.33 GOLD \$4,033.70 ▼ \$15.40 EURO \$1.1510 YEN 157.17

What's News

Business & Finance

- ◆ **In carrying out their first** joint effort in a generation to boost the yen, the U.S. and Japan seek to contain tremors that could be triggered by a cratering Japanese currency. In stock trading Monday, major U.S. indexes surged, lifting the Dow 1.3% to a record and boosting the S&P 500 and Nasdaq by 1.5% and 2.1%, respectively. **A1, B10**
- ◆ **Northrop Grumman** signed two agreements totaling \$3 billion to speed up production of missile interceptors. **B4**
- ◆ **Nissan reiterated** its annual earnings forecasts as it reported its first quarterly net profit in two years. **B3**
- ◆ **Anduril is** in advanced talks with a Maryland port to build out a production site for the company's drone boats, a sign of the potential for defense startups. **B3**
- ◆ **Tyson cut its profit** outlook for the year because of soaring cattle prices, which continue to weigh on the company's bottom line. **B3**
- ◆ **China's factories** are showing new signs of weakness, risking a sharper slowdown in national economic growth in the absence of new government stimulus. **A7**
- ◆ **EasyJet extended** Castlelake's bid deadline to Friday, aligning it with rival bidder Apollo and putting the suitors on a footing to submit a firm offer or walk away. **B3**
- ◆ **Sandoz said it agreed** to pay \$478.5 million to settle antitrust litigation over generic drug pricing in the U.S. **B4**
- ◆ **Hughes Network** Systems, owned by EchoStar, filed for Chapter 11 bankruptcy reorganization. **B5**

Worldwide

- ◆ **Todd Blanche took** steps to smooth his confirmation to U.S. attorney general, formally rescinding a \$1.8 billion "anti-weaponization fund" that critics feared Trump would use to funnel taxpayer money to allies. **A1**
- ◆ **Iran said there weren't** any talks under way with the U.S. and nor were there any meetings planned after Trump said he had called off a major strike on the country. **A6**
- ◆ **Two people died** in Michigan in connection with the cyclosporiasis outbreak that has spread across the U.S. **A3**
- ◆ **A security weakness** in the technology crime labs use to analyze DNA evidence exposed 30 years of files to the risk of being hacked. **A3**
- ◆ **Trump discussed** ousting Jeanine Pirro, the U.S. attorney for the District of Columbia, after her office contradicted his contention that vandals damaged the Reflecting Pool. **A2**
- ◆ **A Red Cross official** met with detained former Myanmar leader Aung San Suu Kyi after her family pressed government authorities to prove that she was alive. **A7**
- ◆ **Anti-Jewish hate crimes** increased by 8.5% in New York City this year, New York Police Department officials said. **A3**
- ◆ **The House Ethics** Committee concluded that Rep. Chuck Edwards (R., N.C.) made unwelcome sexual advances to female House staffers and recommended he be censured. **A4**
- ◆ **Acting ICE Director** David Ventura divested himself of his holdings in Geo Group, one of the nation's largest private prison operators. **A4**

CONTENTS	
Markets & Finance	B10
Arts in Review	A11
Opinion	A13-15
Business & Finance	B25-6
Personal Journal	A9-10
Business News	B3
Sports	A12
Crossword	A11
Technology	B4
U.S. News	A2-4
World News	A6-8
Markets Digest	B7



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Blanche Rescinds Payout Fund

Two holdout GOP senators remove block on his bid to be attorney general

WASHINGTON — Todd Blanche smoothed his confirmation to U.S. attorney general by formally rescinding a \$1.8 billion "anti-weaponization fund" that critics feared President Trump would use to funnel taxpayer money to his allies.

The move by Blanche, who has been serving as acting at-

torney general, won the support of two holdout Republican senators who were blocking his confirmation to the permanent position. The senators, John Cornyn of Texas and Thom Tillis of North Carolina, had objected to the payout fund and to tax-audit protections for Trump that were announced at the same time in May.

In a one-page order late Sunday, Blanche wrote that the fund "is rescinded and shall have no force or effect." In a separate document released simultaneously, the

By *Sadie Gurman, Richard Rubin and Lindsay Wise*

Justice Department agreed to narrow the scope of the tax-audit protections that the Trump administration gave to the president, his family and his businesses. Blanche's moves, however, don't alter the agreement between Trump and his own administration that required the fund's creation. And they leave in place an unusual victory for the president, who turned a tax-

disclosure lawsuit against the government into the end of an audit.

In a joint statement on Monday, Sens. Cornyn and Tillis said they were pleased by Blanche's new written statements and planned to advance his nomination.

The \$1.8 billion fund faced intense blowback after it was announced, including from other Republicans who worried that it could be used to pay people who attacked police officers during the Jan. 6, 2021, attack on the U.S. *Please turn to page A4*



Romania's military set explosives recently along the Danube to divert water needed to cool reactors at a nuclear power plant.

Drought Is Draining Europe's Rivers

By *ED BALLARD AND TOM FAIRLESS*

A drought is wreaking havoc along Europe's rivers. In Romania, authorities set off an explosion beside a river in a bid to divert much-needed water to a power plant. In Bulgaria, 200 vacationers had to be evacuated from a stranded cruise ship. In Germany's industrial heartlands, companies are curbing production and struggling to ship goods.

The incidents are all signs of how perilously low water levels in some of Europe's most sig-

nificant waterways are challenging the region's already stressed economy. Europe is enduring a punishingly dry summer, with a lack of rain and sweltering temperatures stoking wildfires from Scotland to Greece. Now, the lack of rain is reducing stretches of the Danube and Rhine to trickles, threatening an industry that has relied on the mighty waterways.

The most vivid effects are playing out on the Danube, where water levels have receded enough to expose World War II-era bombs and mam-

moth bones. Low water levels are making it impossible for some nuclear-power plants to run their cooling systems. In Romania, where one of the two reactors at the Cernavoda power plant has been shut down, the military in recent days set off the explosives as part of a plan to divert more water to the plant from another channel of the river.

In Hungary, all but one of the four reactors at the country's only nuclear-power plant have been switched off because there isn't enough water

in the river to keep them cool. The Paks plant typically accounts for 40% of the country's electricity generation. Water levels on the Danube in Hungary reached their lowest level on record last week. Hungary's grid can pull power from elsewhere in Europe, but the crisis is nevertheless expected to push up wholesale prices, and officials have called on businesses and consumers to cut energy use.

With temperatures set to rise above 100 degrees Fahrenheit this week, "the five *Please turn to page A7*

U.S. Helps Japan, And Itself, With Move To Aid Yen

Currency's slide had potential to increase interest rates, put investment at risk

By *JASON DOUGLAS*

TOKYO—In carrying out their first joint effort in a generation to boost the yen, the U.S. and Japan are seeking to contain tremors that could be triggered by a cratering Japanese currency.

The yen's slide to a 40-year low indirectly threatened to bump up U.S. interest rates and risked throwing a wrench into plans to pull billions of dollars of Japanese investment into the U.S.

By propping up first Argentina's currency and now the yen, President Trump is showing he is prepared to help allies who are battling financial markets, a contrast to the hands-off approach long favored by U.S. policymakers except in moments of exceptional peril.

Before the U.S. and Japanese governments stepped into the foreign-exchange market to buy the yen on Friday, the Japanese currency had been trading at its lowest level against the dollar in four decades. Earlier bouts of solo intervention had fizzled, sparking anxiety in Tokyo about faster inflation and a bigger import bill for energy as war with Iran strangles oil supplies.

In afternoon trade in Asia on Monday, the yen had recovered to around 156 to the dollar following the U.S.-Japan move, from a pre-intervention low of close to 164—the weakest the currency had been since 1986.

"The Trump administration delivers for America's trusted partners," Treasury Secretary Scott Bessent, who made a fortune trading currencies and other assets for George Soros's investment firm, said in a message on his official account on X. He said the U.S. wouldn't *Please turn to page A2*

◆ **Investors stay skeptical on the yen.**..... **B10**

INSIDE



JASON GAY

The Dodgers' spending drives fans nuts, but their 'villainy' remains within the rules. **A12**



BUSINESS & FINANCE

Big fashion brands try on a new trend: Selling secondhand clothes. **B1**

These Americans Lose Main Reason To Get Out of Bed: 'DCY'

The withdrawal has been severe since Dannon discontinued its coffee yogurt

By *GREGORY ZUCKERMAN*

Some people have coffee. Doron Zeif had Dannon coffee yogurt.

For nearly 40 years, the lawyer in West Orange, N.J., started his day with the creamy concoction. "It's what I got out of bed for," Zeif says.

The withdrawal has been severe since Dannon discontinued the flavor, known to its most loyal fans as "DCY."

For a slice of the population, the coffee yogurt was the best part of their day. After all, each 5.3-ounce cup contained about 32 milligrams of caffeine, or about a third of an 8-ounce cup of coffee. The 11 grams of added sugar also didn't hurt. The most devoted fans ate several containers a day. Some bonded with others who shared the same weakness. When shortages arose, they exchanged tips *Please turn to page A10*



Buzzkill

How AI Wound Up Driving Economy and Stock Market

By *JUSTIN LAHART*

The U.S. economy keeps putting more eggs in the artificial-intelligence basket.

Tech companies are spending hundreds of billions of dollars to meet AI computing needs and issuing billions of dollars of debt to help make those purchases.

The rapid data-center build-out is powering construction spending, hiring and municipal revenues. Meanwhile, a stock-market rally fueled by the rise in shares of chip makers and

other companies benefiting from the AI boom has led to a massive increase in household wealth. That is helping to bolster consumer spending.

Combined, those factors are likely responsible for roughly one-third of the nation's recent economic growth, according to Michael Pearce, an economist at Oxford Economics.

But the strength that the economy is drawing from the AI boom is also a vulnerability: What would happen if the boom fizzled out?

"It is very much an AI-

driven economy right now," said Barclays economist Jonathan Millar. "It's hard to imagine that we would be anywhere near as resilient without that impetus."

Mapping out exactly how much strength the economy is drawing from AI is less than straightforward and prone to error. Even so, it appears substantial.

Details of last week's gross *Please turn to page A2*

◆ **Heard on the Street: How to play flood of AI bonds.**..... **B11**

Colleges Raid Endowments To Pay Their Bills

Schools in financial trouble tap restricted funds from donors; some states pass legislation to curb the practice

By *DOUGLAS BELKIN*

When Natalie Strouse's husband of 20 years died of cancer, she honored his memory by creating a scholarship in his name at the college where she taught accounting.

Each year, she helped select a student to receive a few thousand dollars at Notre Dame College, a small Catholic school outside Cleveland. But in 2024, the college closed. Strouse wanted to re-establish the scholarship at another institution.

She asked Notre Dame for the \$30,000 endowment, which under the terms of the

gift could only be used to support the scholarship.

Not possible, she said an administrator informed her. The money was gone.

"She told me they used it to pay the bills," Strouse said. "I consider it theft."

Ohio's attorney general last year filed a complaint against 14 trustees and officers of the college alleging they improperly used more than \$2 million of restricted endowment funds outside donors' intended purposes. The defendants have denied allegations that they breached their fiduciary *Please turn to page A8*